US-Iran agreement isn't yet a game-changer for the global outlook

- The agreement between the US and Iran is a significant step towards reaching a full-blown deal. But there will likely be bumps in the road, and it will still take time for shipping in the Strait of Hormuz to approach pre-war levels. Though details are lacking, the fact that both sides announced an agreement reduces the tail risk of dwindling oil inventories prompting a recession-inducing oil price spike.
- The latest developments don't automatically point to a faster ramp-up in the amount of oil flowing through the Strait of Hormuz over the coming months compared with our June baseline. We already assumed shipping through the Strait would resume in late July. Nonetheless, based on a risk-adjusted outlook, our near-term oil price forecast now looks too high and will be revised lower in our June second forecast, which will be released on 19 June.
- While this will reduce headline inflation, we suspect the economic boost from this will be limited, and calendar year growth for 2026 is still likely to fall outside the 2.8% to 3.0% range of the past few years. Overall, this reinforces our long-held view that the Federal Reserve and the Bank of England won't hike rates and lessens the chance that central banks that have already raised interest rates, despite a weak economic backdrop, hike again.

Chart 1: Markets are optimistic that the worst is over

Sources: Oxford Economics, Haver Analytics

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The news that the US and Iran have reportedly reached a deal to extend their ceasefire and reopen the Strait of Hormuz is a positive step. While similar messages have been conveyed by the US administration on numerous occasions, this development seems more significant since Iran, along with mediators from Pakistan and Qatar, have also signalled that an agreement is now in place.

The move suggests that both sides may now feel it's in their interests to deescalate. Accordingly, if a deal can be reached that allows both sides to signal victory to their domestic audiences, the worst may now be over. Even if this view is broadly correct, reaching a deal is likely to be far from a formality, and further twists and turns should be expected.

Agreeing the finer details will be when the real challenge of negotiations begins

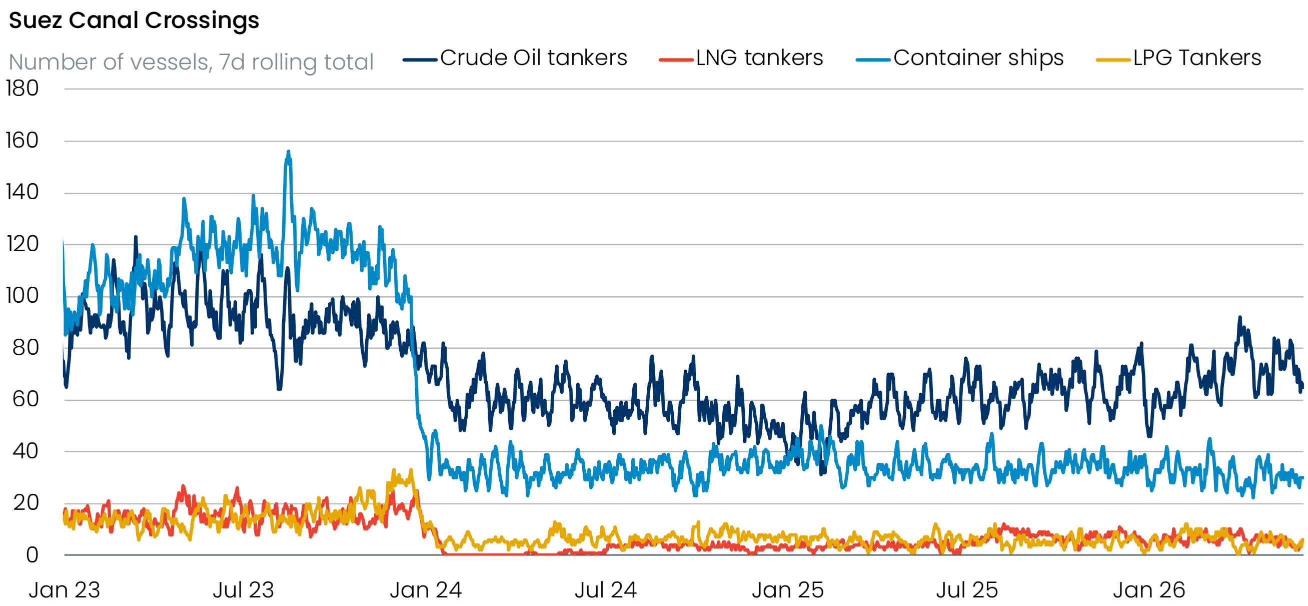
The first key point to note is that the agreement falls far short of a signed formal deal. Pakistani Prime Minister Shehbaz Sharif has stated that "With the agreement now in place, mediators will facilitate a series of meetings this week", so specific details will need to be thrashed out over the coming days. This will be easier said than done, not least because the details around any broad agreement on key elements of the deal remain hazy.

This includes the plan for the most crucial element from a global economic perspective – the reopening of the Strait of Hormuz. It's worth noting that Shebaz Sharif failed to mention any reopening plans in his announcement. While some reports suggest that an agreement on the reopening of the Strait involves Iran not charging tolls for 60 days, reports from Iran suggest that the Strait would reopen under Iranian arrangements. This appears to fall short of previous US demands that passage through the Strait should be toll free. Given contentious issues such as the war in Lebanon and Iran's nuclear programme, and a significant degree of mutual distrust, there's no guarantee that a full-blown and lasting deal can be reached. Indeed, Israel's national security minister Itamar Ben Gvir has already indicated that the deal between the US and Iran won't bind Israel's hands or prevent it from taking further action in Lebanon.

Resumption of shipping traffic through the Strait will take time

Even if a deal can be struck and subsequently holds, the key question is how quickly the Strait will reopen fully to traffic. After all, disruption to shipping activity in the Red Sea has lingered even though the Houthis announced they'd cease attacks in October last year. Worries that the Houthis could step up attacks again at short notice appear to have been enough to encourage some shipping companies to continue taking the considerably longer journey via the Cape of Good Hope. As Chart 2 shows, traffic in the Suez Canal remains below 2024 levels because of Red Sea concerns.

Chart 2: The Houthi attacks of had last long-lasting impacts on shipping routes



Sources: Oxford Economics, Bloomberg

But there are limits to the Red Sea comparison. Since there isn't an alternative shipping route that avoids the Strait of Hormuz, a prolonged inability to use the Strait would mean that several Gulf producers are unable to sell a large share of their output, rather than simply accepting a longer and more expensive journey. This creates a strong incentive for producers, buyers, and policymakers to restore flows once a credible deal is in place. It also suggests that traffic flows through the Strait could move towards more normal levels more quickly than the Suez Canal experience would imply.

Nonetheless, sailing through the Strait will remain riskier and more costly than before the war. The possibility of damage from mines or a re-escalation of the conflict is likely to keep insurance premiums for using the Strait higher than normal, and shipping operators may wish to see evidence that other operators using the Strait aren't running into trouble before granting their ships permission to use the waterway. As a result, physical flows are still likely to recover gradually rather than immediately, even if prices respond more quickly to signs that a credible reopening deal is in place.

Oil production should be able to keep pace with the reopening of the Strait, provided security conditions improve. The incentive to restore output is high, and there doesn't appear to have been substantial damage to core production facilities. This suggests the main constraint is likely to be shipping, insurance, and operational confidence rather than underlying production capacity. Moreover, given the market adjustment already seen through demand destruction, inventory drawdowns, and more flexible trade flows, the full 10mb per day of disrupted Gulf-linked supply may not need to return for oil prices to ease materially.

The baseline view on the economic outlook won't change much

On the face of it, the fall back in the Brent oil price to around $80 per barrel suggests that markets now feel comfortable that the crisis is largely over. While we think that the news does reduce the risk of a prolonged closure of the Strait triggering oil inventories to fall to critically low levels, our baseline forecasts already assumed this. In our June forecasts, we assumed that shipping traffic would resume in late July, well before the crunch point when inventory drawdown would likely cease to be a viable shock absorber.

Even prior to the new agreement, oil prices had fallen back sharply. We think this reflected greater confidence that oil markets had the ability to absorb the supply loss from the Strait closure for longer than previously assumed – consistent with our own recent analysis. This suggests that even if talks between the US and Iran stall, the oil price is unlikely to surge back up towards the levels seen in April and May.

Not only do the risks around our June oil price for the next two or three months now look skewed to the downside, we think there's now a greater chance of a faster convergence towards the pre-war forecast as the situation normalises.

At the margin, lower oil prices will lessen the inflationary squeeze on households' real incomes, but we're sceptical that this is grounds for us to revise up near-term world GDP growth substantially. Even if we nudge up consumer spending growth in H2 slightly, the Q2 weak patch will likely ensure that calendar year growth for world GDP in 2026 remains outside the 2.8% to 3.0% range of recent years.

The area where the news will matter most is monetary policy. Supply shocks are a central bank's worst nightmare since they raise inflation in the short term and weaken growth – the optimal policy depends on whether the former element of the shock boosts underlying inflationary pressures by more than the latter dampens them, a tough real-time judgement call. We've previously argued that a resolution of the Middle East conflict would provide central banks with the confidence to pivot away from a more hawkish stance and eliminate the need for insurance rate hikes. The latest developments add weight to our long-held view that the Federal Reserve and the Bank of England won't hike rates in response to the energy shock. While other central banks that have already tightened policy against a soft economic backdrop, may be disinclined to tighten policy any further.